

ORDINANCE NO. 42-23

AN ORDINANCE OF THE CITY COMMISSION OF THE CITY OF DELRAY BEACH, FLORIDA, AMENDING THE CODE OF ORDINANCES OF THE CITY OF DELRAY BEACH, CHAPTER 35 "EMPLOYEE POLICIES AND BENEFITS", SUBHEADING "RETIREMENT PLAN", BY CREATING A NEW SECTION 35.111, "BIENNIAL REVIEW," TO PROVIDE AN OPPORTUNITY FOR THE CITY COMMISSION TO REVIEW THE RETIREMENT AND DISABILITY BENEFITS PROVIDED TO RETIRED AND CURRENT EMPLOYEES EVERY ODD-NUMBERED YEAR; PROVIDING A CONFLICTS CLAUSE, A SEVERABILITY CLAUSE, AUTHORITY TO CODIFY, PROVIDING AN EFFECTIVE DATE, AND FOR OTHER PURPOSES.

WHEREAS, the City of Delray Beach General Employees' Retirement Plan ("Plan") was established by ordinance of the City Commission many years ago to provide retirement and disability benefits to city employees and their beneficiaries; and

WHEREAS, the Plan does not provide a cost of living adjustment for retirement or disability benefits; and

WHEREAS, the City Commission has determined it to be in the best interest of the City and its employees to establish a procedure for a regular review of the retirement and disability benefits provided for current and retired employees through the General Employees' Retirement Plan, for the purpose of determining whether such benefits have been seriously eroded by increases in the cost of living; and

WHEREAS, to implement such a procedure, it is necessary to adopt an ordinance amending the City's Code of Ordinances.

NOW, THEREFORE, BE IT ORDAINED BY THE CITY COMMISSION OF THE CITY OF DELRAY BEACH, FLORIDA, AS FOLLOWS:

Section 1. The above recitations set forth above are incorporated herein.

Section 2. Chapter 35, "Employee Policies and Benefits," is hereby amended to create a new Section 35.111 of the City Code of Ordinances to read as follows:

Sec. 35.111. – BIENNIAL REVIEW.

In October of each odd-numbered year, the City Manager shall initiate a review of the retirement and disability benefits provided through the General Employees' Retirement Plan for both retired and current employees for the purpose of determining whether such benefits have been seriously eroded by increases in the cost of living. The City Manager may utilize the services of the Plan actuary to assist in

the review. The City Manager shall submit a report and recommendation on such review to the City Commission by April of the following year. The City Commission shall review the City Manager's report and recommendation, and if the City Commission determines that a change in benefits is warranted, such changes shall become effective on October 1 of the fiscal year following the year in which the review was initiated, or a later date as may be determined by the City Commission. This section shall not mandate any amendments to the General Employees' Retirement Plan or increases or decreases in benefits, but only that a review of pension and disability benefits provided through the Plan shall be initiated in October of each odd-numbered year.

Section 3. That all ordinances or parts of ordinances in conflict herewith be and the same are hereby repealed.

Section 4. Should any section or provision of this ordinance or any portion thereof, any paragraph, sentence, or word be declared by a court of competent jurisdiction to be invalid, such decision shall not affect the validity of the remainder hereof as a whole or part thereof other than the part declared to be invalid.

Section 5. Specific authority is hereby given to codify this Ordinance.

Section 6. This ordinance shall become effective upon its passage on second and final reading.

PASSED AND ADOPTED in regular session on second and final reading on this the 16th day of January, 2024.

ATTEST:

Katerri Johnson
Katerri Johnson, City Clerk

Shelly Petrolia
Shelly Petrolia, Mayor

First Reading 11/14/2023
Second Reading 1/16/2024

Approved as to form and legal sufficiency:

Lynn Gelin
Lynn Gelin, City Attorney

